

Generative AI's Act Two

From Technology Hammer to Real Value

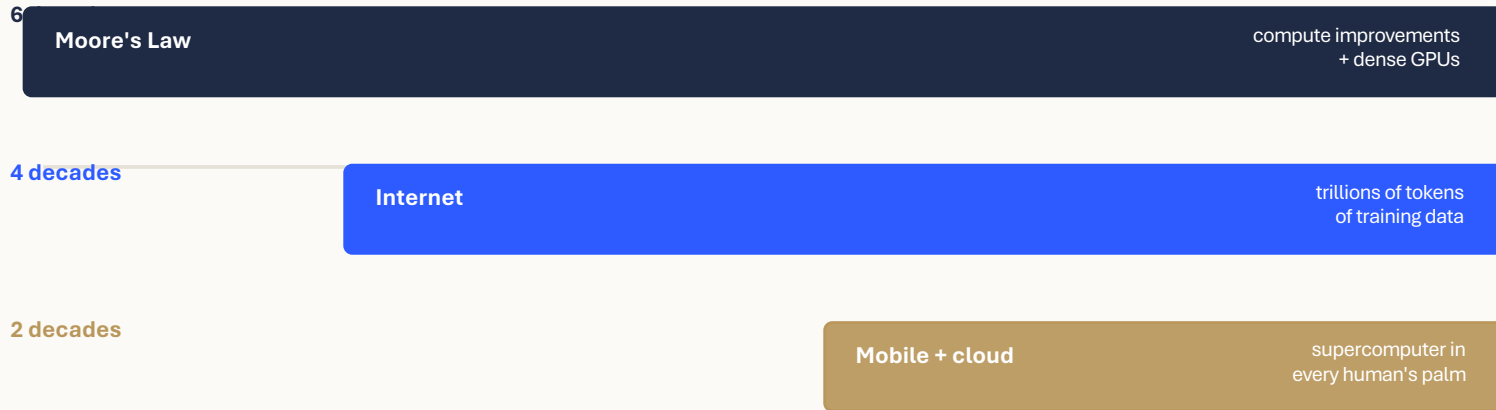
A data-forward view for venture investors and startup founders evaluating generative AI opportunities.

September 2023

Act 1 → Act 2

Technology convergence → commercial traction → retention gap → customer-back model

Six Decades of Technological Progress Converged to Enable Generative AI



ChatGPT was the spark: a Cambrian explosion of innovation after decades of accumulated compute, data, and distribution.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B

startup revenue in months, not years

11

people on Midjourney team while
reporting hundreds of millions in revenue

2 hrs

average Character.ai session time in-app



SaaS

years to \$1B+



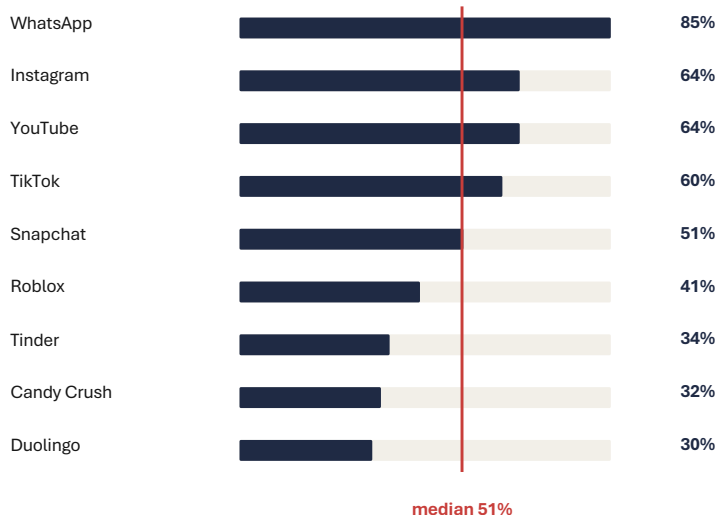
GenAI

months to \$1B+

- ChatGPT: fastest-growing application in history, with product-market fit among students and developers.
- Yet traction did not erase the question of product-market fit or sustainable competitive advantage.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

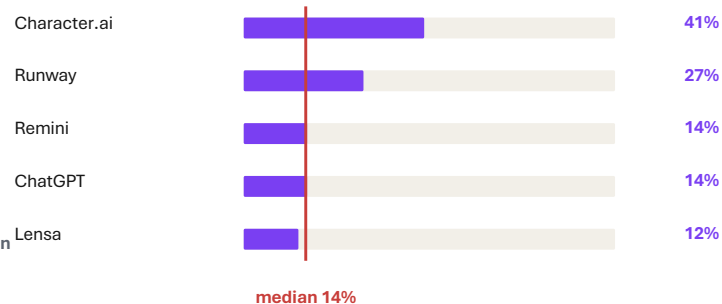
Incumbents



3.6x

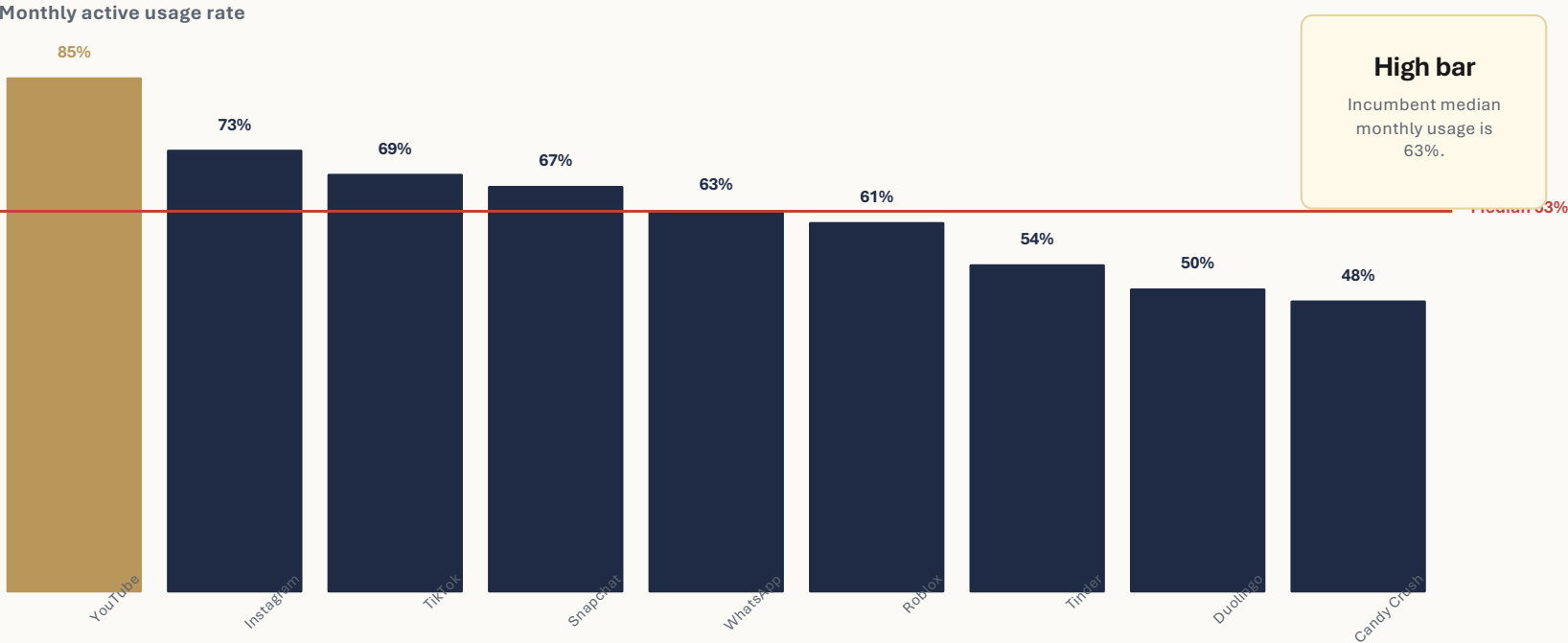
median retention disadvantage

AI-first companies



Character.ai is the outlier at 41%, approaching the lower end of incumbent consumer-app performance.

YouTube Leads Incumbents at 85% Monthly Active Usage



Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1: Technology-out

- Foundation models as the entire solution
- Novelty apps and demos of cool technology
- Lightweight wrappers around model capability
- Poor retention and weak stickiness

Act 2: Customer-back

- Foundation models as a piece of a comprehensive solution
- New editing interfaces that make workflows stickier
- Often multi-modal in nature
- Solve human problems end-to-end

Act 2 exemplars

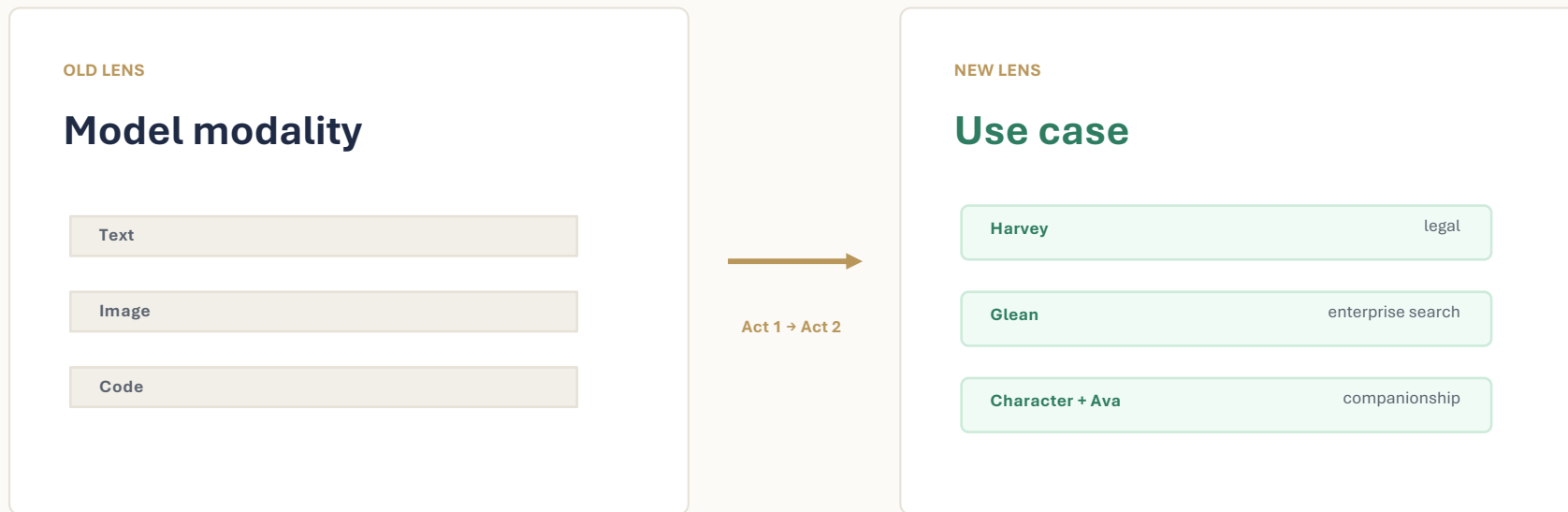
Harvey

Glean

Character

Ava

Market Map Reorganized by Use Case, Not Model Modality



Reorganization mirrors the broader transition from technology hammer to actual value delivery as applications become increasingly multi-modal.

Key Takeaways: What Separates Winners in Act Two

1

Retention is the critical challenge

AI-first apps show 14% median retention vs. 51% for incumbents.

2

Foundation models are components

They should not be the whole product.

3

Workflow-integrated systems win

Multi-modal, end-to-end problem solving defines Act 2.

4

Demand is real

>\$1B in startup revenue proves commercial traction despite hype cycles.

5

Human problems anchor markets

Companies solving end-to-end human problems will define Act 2.

Act Two rewards customer-back products where AI is necessary, integrated, and habit-forming.